

Court No. - 32

Case :- WRIT - C No. - 25325 of 2018

Petitioner :- M/S Tcmc Industries Pvt. Ltd. And Another

Respondent :- Paschimanchal Vidyut Vitran Nigam Limited
And 2 Others

Counsel for Petitioner :- Mayank Kumar Agrawal

Counsel for Respondent :- Awadhesh Kumar Saxena

Hon'ble Shashi Kant Gupta,J.

Hon'ble Ajit Kumar,J.

Heard Sri Mayank Kumar Agrawal, learned counsel for the petitioners, Sri Awadesh Kumar Saxena, learned counsel for the respondents and perused the record.

Learned counsel for the petitioner prays for and is permitted to implead Superintending Engineer Electricity Urban Distribution, Division, Muzaffarnagar as respondent no.4. in the array of the parties.

This writ petition has been filed with the following reliefs:-

"(i). to issue a writ, order or direction in the nature of mandamus directing the respondents to forthwith release an industrial load of 50 KVA to the petitioner within the prescribed period as directed by this Hon'ble Court.

(ii) to issue a writ, order or direction in the nature of mandamus directing the respondents to forthwith prepare and serve an estimate as per Clause 4.6 of the Electricity Supply Code, 2005 for grant of aforesaid electricity connection."

Perusal of the record shows that M/s Arihant Steels & Alloys Limited (in short 'M/s Arihant Steels') went into liquidation pursuant to Section 20(1) of the Sick Industrial Companies (Special Provisions) Act, 1985 since it was having huge financial debts, which it had taken from the Canara Bank and a report sent by the Registrar of the Board through its letter dated 24.12.2002 to

this Court was accepted and this Court vide its order dated 01.12.2003 directed the Official Liquidator to liquidate the Company. Subsequently, the Official Liquidator took over the charge of the assets to proceed with auction of the land on which M/s Arihant Steels was set up. Subsequently, bid tendered by M/s Chaudhary Industrial Project Limited (in short 'M/s Chaudhary Industrial') was approved by this Court and this Court ordered the Official Liquidator to handover the property to the purchaser and execute the sale deed. In pursuant to which, the auction sale was made on 18.08.2010 which was confirmed in favour of the purchaser Sri Satendra Singh vide order dated 01.09.2010 and later on, M/s Chaudhary Industrial filed an application before this Court to execute the sale deed in favour of the petitioner and consequently the sale deed of the property of the company was confirmed vide order dated 18.05.2011 and the Official Liquidator was directed to execute the same in favour of the petitioner. Pursuant to the aforesaid direction, a sale deed was executed on 02.06.2011 in favour of the petitioner and the petitioner- vendee was handed over the vacant and peaceful possession of the entire property.

Learned counsel for the petitioner submitted that the petitioner wanted to set up a Ceramic Tiles Manufacturing Plant on the said land. Pursuant to the liquidation of the Company, the petitioner applied for a new industrial load of 50 KVA on 09.04.2018 before the respondent no.2. Pursuant to the said application, the concerned Executive Engineer wrote a letter dated 10.04.2018 to the Superintending Engineer that direction be issued to him for release of the new industrial connection.

It is further submitted by the learned counsel for the petitioner that the petitioner had to run from pillar to post for a new industrial connection of 50 KVA. On 28.4.2018 when the petitioner met the respondent no.1, he categorically said that the connection cannot be released in his favour since the premises in question is having dues of Rs.178.97 lakhs against the M/s Arihant Steels and in spite of insistence of the petitioner, he did not convey the order in writing to the petitioner but was told that electricity connection cannot be given to the petitioner due to non-payment of outstanding dues by the earlier company. Thereafter, the petitioner made a formal application on 11.04.2018 to the Official Liquidator at Allahabad to clarify the position with regard to the electricity dues. Consequent to the aforesaid application, the Official Liquidator on 19.04.2018 informed the petitioner that after the winding up of the Company on 01.12.2003, all the liabilities and assets of the Company have been settled by the Official Liquidator with the permission of this Court and the Executive Engineer cannot claim any dues or recovery of any amount from the petitioner.

It is further submitted that after receiving the letter dated 19.04.2018, the petitioner again informed the Executive Engineer on 01.05.2018 that now since the position has been clarified, the said connection be released in favour of the petitioner but the Executive Engineer categorically denied the electricity connection to the petitioner without even passing any formal order to that effect.

Learned counsel for the petitioner has contended that Section 43(1) of the Electricity Act, 2003

provides that the licensee is bound to supply the electricity to the applicant of the owner or occupier of any premises within one month of the receipt of the application requiring such supply.

In support of his contention, learned counsel for the petitioner has relied upon Sections 529, 529-A and 530 of the Companies Act, 1956.

In support of his contention, learned counsel for the petitioner has also placed reliance of the following decisions:-

(i). Special Officer, Commerce, North Eastern Electricity Supply Company of Orissa (NESCO) and another v. Raghunath Paper Mills Private Limited and another; 2012 (13) SCC 479.

(ii). Chandu Khamaru (Sri) v. Smt. Nayan Malik and others; 2011 (6) AWC 5441 (SC).

(iii). AI Champdany Industries Limited v. Official Liquidator and another; 2009 (4) SCC 486.

(iv). Southern Power Distribution Company of Telengana Ltd through its CMD and others v. Gopal Agarwal and others decided on 27.07.2017 in Civil Appeal No. 1918 of 2016.

It is further contended that the Apex Court in the aforesaid judgments held that electricity connection cannot be denied to the purchaser in auction proceedings by the Official Liquidator pursuant to the direction given by the Liquidator Court and, therefore, the entire exercise of non-grant of electricity connection in favour of the petitioner is illegal and violative of Article 14 and 19(1)(g) of the Constitution of India.

It is further contended that in the case of Chandu Khamaru (*supra*) the Apex Court has held that the licensee cannot refuse to supply the electricity and is duty bound to supply the electricity connection within the time fixed by the Legislation.

It is further submitted by learned counsel for the petitioner that the petitioner is not a private purchaser, inasmuch as, the petitioner has not directly purchased the premises in question from the subsequent owner rather the premises in question has been sold by this Court pursuant to the liquidation proceeding after inviting and considering all claims from the Government Organization and Department pursuant to the advertisement published on 12.01.2011 in 'Dainik Jagran' newspaper and the respondents cannot refuse to supply the electricity to the petitioner merely because the erstwhile company M/s Arihant Steels went into liquidation. Petitioner is a bonafide purchaser for valuable sale consideration.

Learned counsel for the petitioner has referred to the letter dated 19.04.2018 written by Official Liquidator to the petitioner. The relevant part of the letter dated 19.04.2018 reads as under :-

"Now it is very much clear and clarified that after order of winding up of the Company dated 01.12.2003 all liabilities and assets have been settled by the Official Liquidator with the approval of Hon'ble High Court and Executive Engineer Electricity Urban Distribution Division-I, Muzaffarnagar, U.P. cannot claim any dues or recovery from you being auction purchaser of the property in question because their claim is already decided by this office and Hon'ble High Court has passed an order to distribute the dividend of Rs.1,90,29,698/- to the Canara Bank which is genuine and secured creditor and full amount of Rs.1.90 lacs have been paid to the Canara Bank in full with the order of Hon'ble High Court dated 06.02.2014.

In view of the above, if Executive Engineer Electricity Urban Distribution Division-I, Town Hall, Muzaffarnagar, U.P. wants to claim, he can directly approached the Hon'ble High Court by way of application and this office will act upon as per Hon'ble Court order/ direction accordingly."

Learned counsel for the petitioner has also referred to a letter dated 18.01.2018 written by Managing Director, U.P., Power Corporation where it has been stated that in case a property is purchased pursuant to the liquidation, the dues of previous owner have to be recovered from the earlier owner and a new connection can also be released in favour of the subsequent purchaser.

Per contra, learned counsel appearing for the respondents states that petitioner has already approached the Consumer Grievance Redressal Forum to ventilate his grievance. Whereupon the petitioner has stated that he will withdraw the application from the Consumer Grievance Redressal Forum within a week from today.

In view of the above, respondent no.4-Superintending Engineer of Electricity Urban Distribution Division, Muzaffarnagar is directed to decide the matter with regard to release of electricity connection for industrial load of 50 KVA to the petitioner by a reasoned and speaking order keeping in view the various decisions of the Apex Court as referred to hereinabove, relied upon by the petitioner, within a period of 30 days from the date of production of a certified copy of this order along with the copy of the writ petition.

With the above observations/ direction, the writ petition is disposed of.

Order Date :- 26.7.2018

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